

7

Frequent changes in accounting policies

Accounting policies are reported first thing in the notes, below the income statement and balance sheet. Frequent changes in accounting policies make the number incomparable. E.g., the company can recognize revenue in multiple ways - once the goods are sold or once the return period is over. It depends on the choice of the company and its nature of business.

Let's say only 0.5% of its sales are returned. In this case, it can recognize sales when the goods are sold. However, if the return is 20% of the revenue, it is better to identify revenue when the goods are sold and the return period is over.



Let's say the company recognized revenue when it was sold, and the return period was over. However, now it recognizes revenue when the goods are sold without waiting for the return period to be over. Thus, the revenue will increase for the year. However, this is not an actual increase. It is just due to the changes made in the accounting policies. It is, thus, an artificial increase in revenue.

If you see such changes in accounting policies, you must be conscious of the reasons. Accounting policies will be for various line items, such as revenue, expenses, assets, liabilities, leases, accounts receivable, etc. Thus, it is a red flag when the company frequently changes its accounting policies. We must ask about the rationale behind such changes. However, if it is frequent, we will hardly find a good reason, and the number would also become incomparable over the years.